EXECUTIVE SUMMARY

A. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 25,405 and based on the statistics of the last election, a total of 15,133 were registered voters.

For CY 2021, the Municipality of Piat had a total of 196 personnel complement, with 90 permanent, 12 elective, 2 co-terminus, 24 casual employees and 68 job order.

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2021, with comparative figures for CY 2020 are as follows:

Financial Position	**2021**	**2020**	**Increase/ (Decrease)**
Total Assets	291,021,412.46	264,688,240.77	26,333,171.69
Total Liabilities	75,114,005.69	50,748,044.56	24,365,961.13
Total Government Equity	215,907,406.77	213,940,196.21	1,967,210.56
Financial Performance			
Total Income	127,750,197.35	128,078,058.98	(327,861.63)
Total Expenses	124,337,318.85	115,803,611.92	8,533,706.93
Appropriations, Allotments and Obligations			
Total Appropriations-Current	145,373,210.00	168,164,582.00	(22,791,372.00)
Total Obligations	113,934,492.50	97,846,951.87	16,087,540.63
Appropriations-Continuing	52,337,757.52	37,707,897.51	14,629,860.01
Obligations-Continuing	37,844,646.83	25,447,631.45	12,397,015.38

In CY 2021, the Municipality of Piat received funds from other government agencies totaling P14,484,114.97 and there had been no transferred funds to barangays:

Funds Received from:	2021	2020	Increase/ (Decrease)
National Government Agencies	14,484,114.97	57,735,730.00	(43,251,615.03)
Local Government Units	-	1,100,000.00	(1,100,000.00)
Total	**14,484,114.97**	**58,835,730.00**	**(44,351,615.03)**

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2021 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **Accounts Payable amounting to P10,168,219.73 is unreliable due to: (a) unidentified balances amounting to P1,347,524.43 due to absence of documents or records; and (b) recording of outstanding checks which are not yet stale as accounts payable totalling to P8,820,695.30, contrary to Sections 111 and 112 of PD 1445 and Section 59, Chapter 3 of the Manual on the New Government Accounting System for LGUs.**

   We recommended that Management require the Municipal Accountant:

   a. Make a journal entry to adjust the outstanding checks which are not yet stale that were recorded as accounts payable in the amount of P8,820,695.30; and

   b. Revert to the unappropriated surplus of the general fund the accounts payable amounting to P1,347,524.43 which are unidentified and no actual claim has been filed as prescribed by Section 98 of PD 1445.

2. **The Accounts Receivable, Due from NGAs, and Due from LGUs accounts amounting to P8,147.39, P47,259.63 and P118,080.06, respectively, remained dormant for 13 years, and were not supported with subsidiary ledgers contrary to Sections 98, 111 and 114 of PD 1445 and Item 7.4 of COA Circular No. 2016-005 dated December 19, 2016, thus, the reliability, existence and validity of the accounts could be established.**

We recommended that Management require the Municipal Accountant analyze the Receivables accounts, Accounts Receivable, Due from NGAs and Due from LGUs amounting to P8,147.39, P47,259.63 and P118,080.06, respectively, which has been dormant for 13 years and make the necessary verification against previous financial reports and schedules to determine the details of these accounts and confirm their balances, if warranted. Otherwise, submit request for authority to write off the accounts to COA following the procedures set under COA Circular 2016-005 dated December 19, 2016.

3. **Due to NGAs amounting to P12,452,854.93 includes unexpended balances which are outstanding in the books for more than four years and unutilized balances in the amount of P317,901.92 and P335,921.54, respectively, which were not reverted to the Source Agencies after implementation or completion of the project and unidentified balances of P160,457.81 due to absence of records or documents, contrary to COA Circular No. 94-013 dated December 13, 1994 and COA Circular No. 2016-005 dated December 19, 2016, thereby depriving the source agencies concerned of the opportunity to use these funds for their vital projects and programs.**

   We recommended that the Management:

   a. Require the Municipal Accountant to monitor the implementation of the projects and utilization of the funds and submit liquidation thereof and/ return/remit to the Source Agency any unused/unutilized balances pursuant to to COA Circular No. 94-013 dated December 19, 1994; and

   b. Submit to COA the request for write-off of dormant accounts in the amount of P160,457.81 following the procedures set under COA Circular 2016-005 dated December 19, 2016.

4. **Progress Billings of Infrastructure Assets totalling to P3,998,620.22 were directly recorded in their appropriate PPE account instead of Construction in Progress account contrary to Sec. 50(4) of the Manual on the New Government Accounting System for LGUs, Volume I, thereby affecting the fair presentation of PPE accounts in the financial statements.**

   We recommended that the Management require the Municipal Accountant to reclassify the payments on the progress billing of on-going infrastructure projects erroneously recorded as PPE instead of Construction in Progress in the amount of P3,998,620.22 pursuant to Sec. 50(4) of the New Government Accounting System, Volume I.

5. **The GSO was not able to prepare the Report on the Physical Count of Property, Plant and Equipment as of December 31, 2021 due to non-conduct of physical count of property, plant and equipment which is not in keeping with Section 66 of the Manual on the New Government Accounting System for LGUs**

and COA Circular 2020-006 dated January 31, 2020, thus the accuracy of the PPE account in the financial statements amounting to P153,449,732.40 cannot be verified.

We recommended that Management:

a. Create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality in order to finalize the preparation of the RPCPPE pursuant to Section 66 of the Manual on the New Government Accounting System and COA Circular 2020-006 dated January 31, 2020; and

b. Hire job order personnel, if necessary, to assist in the conduct of physical count of PPE for a speedy accomplishment and submission of the RPCPPE.

E. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2021, the Municipality of Piat, Cagayan has unsettled disallowances totaling to P972,422.14 There were no issued Notices of Suspension, Notices of Disallowance and Notices of Charge for the year. The details of unsettled disallowances are as follows:

Date	ND No.	PAYEE/PAYOR	Outstanding Balance as of 12/31/2021
02/06/2014	ND No. 2014-101-001 (2013)	Various	122,800.00
02/06/2014	ND No. 2014-101-002 (2013)	Various	4,700.00
27/08/2015	ND No. 2015-101-001 (2014)	Various	45,859.64
28/09/2016	ND No. 2016-101-001(2013)	various	299,062.50
19/03/2018	ND No. 2018-101-001-(2013)/(2016)	Ms. Josefina B. Mamaba and VM Leonel C. Guzman	500,000.00
TOTAL			**972,422.14**

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		18
Not Implemented	2	
Not Implemented and Reiterated in CY 2021 AAR	6	8
Total		**26**